

Employing in Malaysia

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Employment Act 1955
- **Monthly payroll** — salary payments in MYR, itemised payslips
- **Tax withholding** — PCB (monthly tax deduction) calculated and remitted to LHDN
- **EPF, SOCSO & EIS** — retirement, injury/invalidity and unemployment insurance contributions
- **Leave and termination management** — notice periods, entitlements and retrenchment guidance

Employment Conditions

Contracts & Probation

The Employment Act 1955 (as amended, extending coverage to all employees regardless of salary from 2022) sets minimum standards. There is no statutory minimum or maximum probation period — 3–6 months is standard practice.

Item	Detail	Legal Basis
Written contract	Strongly recommended; must specify wages, hours and termination terms	Employment Act 1955
Probation period	No statutory minimum/maximum; 3–6 months typical	Employer discretion
Universal EA coverage	All employees covered regardless of salary level (since 2022 amendment)	Employment Act 1955 (Amendment 2022)

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	45 hours/week (reduced from 48 in 2022)	Employment Act 1955
Overtime premium	150% of hourly rate on normal working days	Employment Act 1955
Rest day/holiday overtime	200%–300% depending on the day	Employment Act 1955

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
National minimum wage	RM 1,700/month (RM 7.21/hour)	Applies nationally; exemptions for micro-enterprises phased out
EPF employer contribution	13% (salary ≤RM5,000) or 12% (above)	No wage ceiling — applies to full salary
SOCSCO employer contribution	~1.75% (table-based, not flat %)	Wage ceiling RM 6,000/month (raised from RM 4,000 in Oct 2024)
EIS employer contribution	0.2%	Same RM 6,000/month wage ceiling as SOCSCO

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	8–16 days/year (scales with tenure)	Employer	Employment Act 1955 minimum; many employers offer more
Sick Leave	14–22 days/year (scales with tenure); 60 days if hospitalised	Employer	Requires a registered medical practitioner's certificate
Maternity Leave	98 days (raised from 60 days in 2022)	Employer	Available for up to 5 surviving children
Paternity Leave	7 days (raised from 3 days in 2022)	Employer	For married male employees, up to 5 confinements

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
EPF employer contribution (12%, salary >RM5,000)	\$360.00	12.00%
SOCSCO + EIS (capped at RM6,000/month wage ceiling, illustrative)	\$27.00	0.90%
EOR service fee (HeroForce, Tier 2)	\$500.00	16.67%
Estimated total monthly cost	~\$3,887.00	~129.6%

HeroForce EOR service fee shown at USD \$500 per employee per month (Tier 2 pricing), no setup fee. SOCSCO and EIS are capped at a RM 6,000/month wage ceiling, so their share shrinks quickly above that level, while EPF has no ceiling and applies to full salary. Employee deductions (withheld separately) include EPF (11%), SOCSCO/EIS (capped) and PCB income tax.

Income Tax (PCB, Year of Assessment 2026)

Malaysia uses progressive resident tax rates, withheld monthly via PCB (Potongan Cukai Bulanan) and remitted to LHDN.

Chargeable Income (MYR)	Rate
First 5,000	0%
5,001 – 20,000	1%
20,001 – 35,000	3%
35,001 – 50,000	6%
50,001 – 70,000	11%
70,001 – 100,000	19%
Above 100,000	25% – 30% (rising progressively, top rate above RM2M)

Non-residents (present under 182 days/year) are taxed at a flat 30% withholding rate with no reliefs.

Termination & Separation

Notice Periods

Length of Service	Statutory Minimum Notice (if not specified in contract)	Key Rule
Less than 2 years	4 weeks	Employment Act 1955
2 – 5 years	6 weeks	Employment Act 1955
5+ years	8 weeks	Employment Act 1955

Retrenchment Benefits

Length of Service	Retrenchment Benefit
Less than 2 years	10 days' wages per year of service
2 – 5 years	15 days' wages per year of service
5+ years	20 days' wages per year of service

★ HERO TIP

Malaysia's Industrial Relations framework makes "constructive dismissal" and unfair dismissal claims (via the Industrial Court) a genuine risk even where notice and retrenchment pay are correctly calculated — process matters as much as the numbers. Always route Malaysian terminations through your HeroForce EOR to confirm the correct procedure before issuing notice.

Public Holidays 2026 (National)

Malaysia observes 11 national public holidays, with several additional state-specific holidays (varying by state, including Bahasa Malaysia/Islamic, Chinese and Hindu observances) — always confirm the specific state of employment.

Date (2026, approx.)	Holiday	Type
1 January	New Year's Day	National (not observed in all states)
~February	Chinese New Year (2 days)	National
~March/April	Hari Raya Puasa (2 days)	National (Islamic calendar)
1 May	Labour Day	National
~May	Wesak Day	National (Buddhist calendar)
~June	Agong's Birthday	National
31 August	Merdeka (Independence) Day	National
16 September	Malaysia Day	National
25 December	Christmas Day	National

State-specific holidays (e.g. state rulers' birthdays, Thaipusam in several states, Good Friday in Sabah/Sarawak) add several more days depending on the employee's work location.

Ready to hire in Malaysia?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Malaysia employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$500** per employee per month, no setup fee (Tier 2).